

RJ Strategy and Document Memo

Company: Lolo Care, Inc.

Recipient: Ronald J. Antonelli, a Raleigh, North Carolina-based lawyer

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Executive Summary

The proposed deal is workable as a startup lawyer/advisor onboarding package, but it needs careful structuring because RJ is a lawyer and would be receiving equity from a client while also committing to provide services and contribute cash.

Recommended structure:

- ? issue 1,000,000 shares total to RJ from the 10,000,000 authorized-share model;
- ? treat 500,000 shares as immediately vested;
- ? treat 500,000 shares as restricted shares that vest over 18 months;
- ? make the unvested shares subject to company repurchase if RJ stops providing services, fails to cure a service default, fails to stay current on the funding commitment, loses legal good standing, or breaches key covenants;
- ? require RJ to sign strong transfer restrictions, right of first refusal, confidentiality, and joinder provisions;
- ? require professional-responsibility disclosure and written consent before signing;
- ? require independent counsel review for Lolo Care, Inc..

This memo is not legal advice. It is a strategy and drafting memo for review by counsel.

Why Not Give All 10% Unrestricted Immediately?

Giving all 1,000,000 shares outright would make it hard to recover value if RJ does not perform, does not complete assigned tasks, or does not fund the promised \$1,000 per month. It would also create a third stockholder with a meaningful economic interest and statutory rights before performance has been delivered.

The better structure is to make only the first 500,000 shares vested immediately and make the second 500,000 shares earned over time and performance.

What "Limited Shares" Means Here

RJ's shares are limited in several ways:

- ? unvested shares are subject to repurchase by the company;
- ? unvested vesting can pause or fail if RJ has an uncured service or funding default;
- ? shares cannot be transferred freely;
- ? the company has a right of first refusal before any permitted transfer;
- ? any transferee must sign a joinder and be bound by the same restrictions;
- ? RJ receives no board seat and no founder veto rights;

- ? RJ receives no special information rights except those in the agreements or required by law;
- ? RJ must keep company information confidential.

Equity Math

The package assumes 10,000,000 authorized shares:

Holder / category	Shares after RJ issuance	Percent of authorized shares	Percent of issued shares after RJ issuance
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Charles Petrini-Poli	5,000,000	50.00%	55.56%
Thibaud Peverelli	3,000,000	30.00%	33.33%
Ronald J. Antonelli	1,000,000	10.00%	11.11%
Authorized but unissued	1,000,000	10.00%	N/A

At closing, only 500,000 of RJ's 1,000,000 shares are vested. The other 500,000 are restricted and vest over 18 months.

Vesting Strategy

The vesting shares vest monthly over 18 months:

- ? months 1 through 17: 27,778 shares per month;
- ? month 18: 27,774 shares;
- ? total vesting shares: 500,000.

Each monthly tranche should require:

- ? RJ remains in continuous service;
- ? RJ is in good standing as a lawyer in the applicable jurisdiction;
- ? RJ has no uncured material service default;
- ? RJ is current on the \$1,000 per month funding commitment, subject to any cure period;
- ? board acceptance of required deliverables for that period, if specific deliverables were assigned.

The company should not condition legal compensation on an improper legal result or outcome. The condition should be tied to services, deliverables, responsiveness, ethics compliance, and continued engagement, not a guaranteed legal outcome.

Monthly Funding Strategy

RJ agreed to contribute \$1,000 per month for 6 months. This package drafts that obligation as a capital contribution:

- ? total commitment: \$6,000;
- ? paid in six monthly installments of \$1,000;
- ? no additional shares for those payments unless separately approved;
- ? no repayment obligation unless the parties change the structure;

? failure to pay after notice and cure is a default that can pause vesting and allow repurchase of unvested shares.

Counsel and tax/accounting advisors should confirm whether this should instead be structured as a loan, SAFE, or separate stock purchase.

Lawyer Ethics Strategy

Because RJ is a Raleigh, North Carolina-based lawyer, the package includes a professional-responsibility disclosure and written consent tailored to North Carolina. The company should be advised in writing to seek independent legal counsel, should have a reasonable opportunity to do so, and should give written informed consent only after understanding:

- ? RJ's equity interest may create conflicts;
- ? RJ's personal investment interest may diverge from the company's interest;
- ? RJ should not advise the company as sole counsel on the fairness of his own transaction;
- ? local lawyer ethics rules may impose additional requirements.

The package is drafted around the North Carolina Rules of Professional Conduct, especially Rule 1.8(a), which addresses a lawyer entering a business transaction with a client or acquiring a pecuniary interest adverse to a client; Rule 1.7, which addresses conflicts created by a lawyer's personal interests; and Rule 5.4, which protects a lawyer's professional independence. RJ's North Carolina State Bar number still needs to be inserted.

Securities and Tax Strategy

The equity issuance must fit a securities-law exemption. For service-provider equity, Rule 701 may be available for a private, non-reporting company, but counsel must confirm eligibility, disclosure requirements, and state law.

Because the restricted shares are subject to vesting and repurchase, RJ should consult tax counsel about filing an 83(b) election within 30 days after the stock transfer.

Document List

`02-board-consent-approving-rj-package.md`

Board approval for the RJ services, equity, funding, transfer restrictions, and related agreements.

`03-founder-stockholder-consent-approving-rj-package.md`

Founder/stockholder approval required because the founder governance package treats equity issuance and related arrangements as reserved matters.

`04-rj-legal-services-and-strategic-advisor-agreement.md`

Engagement agreement covering RJ's services, tasks, legal ethics, conflicts, deliverables, confidentiality, and default process.

`05-rj-initial-statement-of-work.md`

Initial task list and milestone framework. This should be customized before signature.

`06-rj-restricted-stock-purchase-agreement.md`

Main equity agreement for 1,000,000 shares: 500,000 vested immediately and 500,000 subject to 18-month vesting and repurchase.

`07-rj-stockholder-joinder-transfer-rofr-and-confidentiality-agreement.md`

Limits transferability, gives the company a right of first refusal, requires transferee joinder, and confirms RJ has no board or founder governance rights.

`08-rj-capital-contribution-and-funding-commitment-agreement.md`

Documents RJ's \$1,000 per month for 6 months funding commitment.

`09-rj-professional-responsibility-disclosure-and-consent.md`

Written disclosure and consent document for lawyer equity/funding conflict issues.

`10-rj-83b-election-instructions-and-template.md`

Tax filing checklist and template for RJ to review with tax counsel.

`11-rj-uncertificated-share-notice.md`

Notice confirming RJ's shares and restrictions in the company stock ledger.

`12-rj-cap-table-update.md` and `.csv`

Post-RJ cap table and stock ledger reference.

`13-rj-signing-and-closing-checklist.md`

Step-by-step closing checklist.

Legal Reference Points

- ? Delaware DGCL Section 152 allows the board to determine consideration for stock, including cash, property, services, or other benefit to the corporation.
- ? Delaware DGCL Section 202 supports stock transfer restrictions if properly imposed and noticed.
- ? Delaware DGCL Section 212 addresses proxies, including irrevocable proxies when coupled with a sufficient interest.
- ? Delaware DGCL Section 157 addresses rights and options respecting stock.
- ? SEC Rule 701 can apply to compensatory equity issued by private companies to employees, consultants, and advisors if requirements are met.
- ? IRS Section 83(b) election timing is generally 30 days after restricted stock is transferred.
- ? North Carolina Rule of Professional Conduct 1.8(a) addresses lawyer business transactions with clients and lawyer acquisition of pecuniary interests adverse to clients.
- ? North Carolina Rule of Professional Conduct 1.7 addresses concurrent conflicts, including conflicts created by a lawyer's personal interests.
- ? North Carolina Rule of Professional Conduct 5.4 addresses lawyer professional independence.

Sources:

- ? Delaware DGCL Sections 151-158: <https://delcode.delaware.gov/title8/c001/sc05/>
- ? Delaware DGCL Sections 201-202: <https://delcode.delaware.gov/title8/c001/sc06/>
- ? Delaware DGCL Sections 212 and 218: <https://delcode.delaware.gov/title8/c001/sc07/>
- ? SEC Rule 701 overview: <https://www.sec.gov/resources-small-businesses/exempt-offerings/employee-benefit-plans-rule-701-0>
- ? IRS Form 15620 / Section 83(b): <https://www.irs.gov/pub/irs-pdf/f15620.pdf>
- ? North Carolina Rule 1.8: <https://www.ncbar.gov/for-lawyers/ethics-and-governing-rules/rules-of-professional-conduct/10-119-client-lawyer-relationship/18-conflict-of-interest-current-clients-specific-rules/>
- ? North Carolina Rule 1.7: <https://www.ncbar.gov/for-lawyers/ethics-and-governing-rules/rules-of-professional-conduct/10-119-client-lawyer-relationship/17-conflict-of-interest-current-clients/>
- ? North Carolina Rule 5.4: <https://www.ncbar.gov/for-lawyers/ethics-and-governing-rules/rules-of-professional-conduct/51-57-law-firms-and-associations/54-professional-independence-of-a-lawyer/>